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Legal charges	4,000	Export duty (on sales)	23,000
Audit fees	16,000	Miscellaneous receipts	5,000
Donation given	11,000	Travelling expenses related to sales	66,000
Sundry expenses	3,600	Selling expenses	53,200

Solution

Dr. Profit and loss account for the year ended 31st December, 2017 Cr.

Particulars	`	Particulars	`
To Trade expenses	20,000	By Gross Profit b/d	21,05,000
To Carriage on sales	1,00,000	By Commission received	14,400
To Office salaries	2,38,000	By Miscellaneous receipts	5,000
To Postage	2,200		
To Legal charges	4,000		
To Audit fees	16,000		
To Donation given	11,000		
To Sundry expenses	3,600		
To Selling expenses	53,200		
To Discount allowed	30,000		
To Office lighting	19,800		
To Interest on loan	22,000		
To Stationery (office)	14,000		
To Export duty	23,000		
To Travelling expenses	66,000		
To Net Profit (transferred to capital account)	**15,01,600**		
	21,24,400		21,24,400



Student activity

Think: From the income statement, is it possible to know how much the business owns or owes?